

SERVICE LEVEL AGREEMENT

Agreement Number: SLA-2024-001 **Reference Contract:** MSA-2024-001 **Effective Date:** January 1, 2024 **Review Date:** January 1, 2025

PARTIES

This Service Level Agreement ("SLA") is established between:

SERVICE PROVIDER: TechServices Global Inc. ("Provider")

CLIENT: Acme Corporation ("Client")

1. PURPOSE AND SCOPE

1.1 Purpose

This SLA defines the service levels, performance metrics, and measurement methodologies that Provider shall deliver to Client under the Master Services Agreement.

1.2 Scope

This SLA covers all services provided under: - MSA-2024-001 (Master Services Agreement) - SOW-2024-001 (Infrastructure Modernization) - All subsequent Statements of Work

2. SERVICE AVAILABILITY

2.1 Production Environment Availability

Service Component	SLA Reference	Target	Minimum	Measurement Window
Core Business Applications	12.1	99.95%	99.9%	Monthly
	12.2	99.95%	99.9%	Monthly

Service Component	SLA Reference	Target	Minimum	Measurement Window
Database Services				
Application Servers	12.3	99.9%	99.7%	Monthly
Web Services/APIs	12.4	99.9%	99.5%	Monthly
Authentication Services	12.5	99.99%	99.95%	Monthly
Email Services	12.6	99.9%	99.5%	Monthly
File/Storage Services	12.7	99.95%	99.9%	Monthly

2.2 Infrastructure Availability

Service Component	SLA Reference	Target	Minimum	Measurement Window
Network Core	2.1.1	99.99%	99.95%	Monthly
WAN Connectivity	2.1.2	99.9%	99.5%	Monthly
LAN Connectivity	2.1.3	99.95%	99.9%	Monthly
Firewall Services	2.1.4	99.99%	99.95%	Monthly
Load Balancers	2.1.5	99.95%	99.9%	Monthly
DNS Services	2.1.6	99.999%	99.99%	Monthly
VPN Services	2.1.7	99.9%	99.5%	Monthly

2.3 Cloud Infrastructure Availability

Service Component	SLA Reference	Target	Minimum	Measurement Window
AWS Compute (EC2)	3.1.1	99.95%	99.9%	Monthly

Service Component	SLA Reference	Target	Minimum	Measurement Window
AWS Storage (S3)	3.1.2	99.99%	99.95%	Monthly
AWS Database (RDS)	3.1.3	99.95%	99.9%	Monthly
Azure Active Directory	3.2.1	99.99%	99.95%	Monthly
Azure Virtual Machines	3.2.2	99.95%	99.9%	Monthly
Kubernetes Cluster	3.3.1	99.9%	99.5%	Monthly

2.4 Availability Calculation

Availability % = ((Total Minutes - Downtime Minutes) / Total Minutes)

Where:

- Total Minutes = Minutes in measurement period (e.g., 43,200 for 30-days)

- Downtime Minutes = Unplanned outage duration (excluding scheduled maintenance)

2.5 Scheduled Maintenance Windows

Day	Time (UTC)	Duration	Notification
Sunday	02:00 - 06:00	4 hours	7 days advance
Wednesday	02:00 - 04:00	2 hours	7 days advance

Emergency maintenance requires **4 hours** minimum notice (or as soon as practicable).

3. INCIDENT RESPONSE AND RESOLUTION

3.1 Incident Priority Definitions

Priority	Definition	Business Impact
P1 - Critical	Complete system failure, all users affected	Business operations stopped
P2 - High		

Priority	Definition	Business Impact
	Major functionality impaired, many users affected	Significant business impact
P3 - Medium	Limited functionality impact, some users affected	Moderate business impact
P4 - Low	Minor issue, workaround available	Minimal business impact

3.2 Response Time SLAs

Priority	SLA Reference	Target Response	Maximum Response	Escalation
P1 - Critical	4.1.1	10 minutes	15 minutes	Immediate to management
P2 - High	4.1.2	20 minutes	30 minutes	1 hour to management
P3 - Medium	4.1.3	1 hour	2 hours	4 hours to management
P4 - Low	4.1.4	2 hours	4 hours	Next business day

3.3 Resolution Time SLAs

Priority	SLA Reference	Target Resolution	Maximum Resolution
P1 - Critical	4.2.1	2 hours	4 hours
P2 - High	4.2.2	4 hours	8 hours
P3 - Medium	4.2.3	8 hours	24 hours
P4 - Low	4.2.4	24 hours	72 hours

3.4 Incident Communication

Priority	Initial Update	Ongoing Updates	Final Report
P1	15 minutes	Every 30 minutes	Within 24 hours
P2	30 minutes	Every 1 hour	Within 48 hours
P3	2 hours	Every 4 hours	Within 5 days
P4	4 hours	Daily	Within 7 days

4. PERFORMANCE METRICS

4.1 Service Desk Performance

Metric	SLA Reference	Target	Minimum	Measurement
Average Speed to Answer	5.1.1	30 seconds	60 seconds	Monthly
Call Abandonment Rate	5.1.2	< 3%	< 5%	Monthly
First Call Resolution	5.1.3	75%	65%	Monthly
Ticket Acknowledgment	5.1.4	15 minutes	30 minutes	Per ticket
Customer Satisfaction (CSAT)	5.1.5	4.5/5.0	4.0/5.0	Monthly survey
Net Promoter Score (NPS)	5.1.6	> 50	> 30	Quarterly

4.2 Change Management

Metric	SLA Reference	Target	Minimum	Measurement
Change Success Rate	5.2.1	98%	95%	Monthly
Emergency Change Rate	5.2.2	< 5%	< 10%	Monthly
Change-Related Incidents	5.2.3	< 2%	< 5%	Monthly
Change Lead Time (Standard)	5.2.4	5 days	10 days	Per change
Change Lead Time (Normal)	5.2.5	3 days	5 days	Per change
	5.2.6	100%	95%	Per rollback

Metric	SLA Reference	Target	Minimum	Measurement
Rollback Success Rate				

4.3 Capacity and Performance

Metric	SLA Reference	Target	Threshold	Measurement
CPU Utilization	5.3.1	< 70%	< 85%	Real-time
Memory Utilization	5.3.2	< 75%	< 90%	Real-time
Storage Utilization	5.3.3	< 80%	< 90%	Daily
Network Bandwidth	5.3.4	< 60%	< 80%	Real-time
Application Response Time	5.3.5	< 2 seconds	< 5 seconds	Real-time
Database Query Time	5.3.6	< 500ms	< 2 seconds	Real-time

4.4 Backup and Recovery

Metric	SLA Reference	Target	Minimum	Measurement
Backup Success Rate	5.4.1	99.9%	99%	Daily
Backup Completion (Daily)	5.4.2	100% by 06:00	100% by 08:00	Daily
Recovery Point Objective (RPO)	5.4.3	1 hour	4 hours	Per system
Recovery Time Objective (RTO)	5.4.4	4 hours	8 hours	Per system

Metric	SLA Reference	Target	Minimum	Measurement
DR Test Success	5.4.5	100%	95%	Quarterly
Restore Request Completion	5.4.6	4 hours	8 hours	Per request

5. SECURITY METRICS

5.1 Security Monitoring

Metric	SLA Reference	Target	Minimum	Measurement
Threat Detection Time	6.1.1	< 5 minutes	< 15 minutes	Per threat
Security Event Triage	6.1.2	< 15 minutes	< 30 minutes	Per event
False Positive Rate	6.1.3	< 5%	< 10%	Monthly
Security Alert Closure	6.1.4	24 hours	48 hours	Per alert

5.2 Vulnerability Management

Metric	SLA Reference	Target	Maximum	Measurement
Critical Patch Deployment	6.2.1	24 hours	48 hours	Per patch
High Patch Deployment	6.2.2	72 hours	7 days	Per patch
Medium Patch Deployment	6.2.3	14 days	30 days	Per patch
Low Patch Deployment	6.2.4	30 days	60 days	Per patch

Metric	SLA Reference	Target	Maximum	Measurement
Vulnerability Scan Completion	6.2.5	Weekly	Bi-weekly	Per scan
Patch Compliance Rate	6.2.6	> 98%	> 95%	Monthly

5.3 Security Incident Response

Metric	SLA Reference	Target	Maximum	Measurement
Security Incident Response	6.3.1	15 minutes	30 minutes	Per incident
Incident Containment	6.3.2	1 hour	4 hours	Per incident
Incident Eradication	6.3.3	4 hours	24 hours	Per incident
Post-Incident Report	6.3.4	72 hours	7 days	Per incident

6. REPORTING

6.1 Report Schedule

Report	Frequency	Delivery	Recipient
Daily Operations Summary	Daily	By 09:00	IT Operations
Weekly Status Report	Weekly	Friday 17:00	IT Director
Monthly SLA Report	Monthly	5th business day	CIO, IT Director
Quarterly Business Review	Quarterly	15th of month	Executive Team
Annual Review	Annually	January 31	C-Suite

6.2 Report Contents

Monthly SLA Report shall include: - Executive summary - SLA compliance scorecard (all metrics) - Trend analysis (3-month rolling) - Incident summary and root causes - Change summary - Capacity projections - Service credits calculation (if applicable) - Improvement recommendations

7. SERVICE CREDITS

7.1 Availability Service Credits

Availability Level	Service Credit	Cap
99.7% - 99.89%	5% of monthly fee	
99.5% - 99.69%	10% of monthly fee	
99.0% - 99.49%	15% of monthly fee	
98.0% - 98.99%	20% of monthly fee	
Below 98.0%	30% of monthly fee	
Maximum Monthly Credit		40%

7.2 Response/Resolution Time Credits

SLA Miss	Service Credit
Response time missed (P1)	\$5,000 per incident
Response time missed (P2)	\$2,500 per incident
Resolution time missed (P1)	\$10,000 per incident
Resolution time missed (P2)	\$5,000 per incident

7.3 Chronic Failure

If any Critical SLA is missed for **3 consecutive months**, Client may: - Terminate the affected service without penalty - Require remediation plan within 10 business days - Invoke performance improvement clause

8. GOVERNANCE

8.1 Service Review Meetings

Meeting	Frequency	Attendees
Operational Review	Weekly	Operations teams
Service Review	Monthly	Service managers
Executive Review	Quarterly	Directors/VPs
Strategic Review	Annually	C-level executives

8.2 Escalation Matrix

Level	Provider	Client	Timeframe
1	Service Desk	IT Support	Immediate
2	Team Lead	IT Manager	2 hours
3	Service Manager	IT Director	4 hours
4	Delivery Director	VP of IT	8 hours
5	VP Client Services	CIO	24 hours
6	CEO	CEO	48 hours

9. CONTINUOUS IMPROVEMENT

9.1 Improvement Targets

Provider commits to the following annual improvements:

Metric	Year 1 Baseline	Year 2 Target	Year 3 Target
Overall Availability	99.9%	99.95%	99.97%
First Call Resolution	70%	75%	80%
CSAT Score	4.3	4.5	4.7
MTTR (P1)	3 hours	2 hours	1.5 hours

9.2 Innovation Initiatives

Provider shall propose at least **2 innovation initiatives** per year aimed at: - Improving service quality - Reducing costs - Enhancing user experience - Leveraging emerging technologies

10. SLA REVIEW AND MODIFICATION

10.1 Annual Review

This SLA shall be reviewed annually, with amendments agreed upon by both Parties. Review shall consider: - Business requirement changes - Technology evolution - Industry benchmarks - Historical performance

10.2 Ad-Hoc Review

Either Party may request an SLA review due to: - Significant scope changes - Material business changes - Regulatory requirements - Technology changes

APPENDIX A: SLA REFERENCE CODES

Code	Category	Description
12.x	Application Availability	Core business application uptime
2.1.x	Network Infrastructure	Network and connectivity
3.x.x	Cloud Services	AWS/Azure/K8s metrics
4.x.x	Incident Management	Response and resolution times
5.x.x	Operational Metrics	Service desk, change, capacity
6.x.x	Security Metrics	Security monitoring and response

SIGNATURES

TechServices Global Inc.

Signature: _____ Name: Michael Johnson Title: VP of Service
Delivery Date: December 28, 2023

Acme Corporation

Signature: _____ Name: Robert Chen Title: VP of Information
Technology Date: December 29, 2023

End of Service Level Agreement